



Interim Financial Statements
Period Ended 31 March 2020

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Quarter Ended 31st March,	Notes	GROUP			COMPANY		
		2020	2019	% Change	2020	2019	% Change
		LKR	LKR		LKR	LKR	
Continuing Operations							
Revenue		3,923,361,888	4,339,571,588	-10%	70,256,370	25,490,561	176%
Direct Cost		(2,871,465,374)	(3,275,069,910)	-12%	-	-	-
Gross Profit		1,051,896,513	1,064,501,678	-1%	70,256,370	25,490,561	176%
Investment and Other Income		51,056,016	99,262,375	-49%	80,836	72,160	12%
Selling and Distribution Expenses		(275,574,167)	(232,467,365)	19%	(876,471)	-	-
Administrative Expenses		(789,452,084)	(451,535,902)	75%	(15,414,927)	(22,299,605)	-31%
Change in Fair Value of Financial Assets Held for Trading		1,416,899	31,635,256	-96%	1,516,793	2,751,683	-45%
Changes in Fair Value of Investment Property		416,270,265	820,155,019	-49%	2,500,000	1,500,000	-
Fair value gain on investment in subsidiary fair valuation	11	-	-	-	522,022,354	2,079,759,681	-75%
Gain/ (Loss) From Disposal of Subsidiary		-	-	-	-	531,286	-
Finance Cost		(277,569,524)	(158,718,233)	75%	(133,677,720)	(127,233,802)	5%
Share of Loss From Associate		(3,070,456)	-	-	-	-	-
Profit/(Loss) Before Income Tax from Continuing Operations		174,973,462	1,172,832,828	-85%	446,407,235	1,960,571,964	-77%
Income Tax Expense		161,710,563	(231,925,478)	-170%	(17,531,861)	(1,448,982)	1110%
Profit/(Loss) for the Period from Continuing Operations		336,684,025	940,907,350	-64%	428,875,374	1,959,122,983	-78%
Discontinued Operations							
Profit/(Loss) after tax for the period from discontinued operations		(190,930,635)	1,455,178.0		-	-	
Profit/(Loss) for the period		145,753,391	942,362,528		428,875,374	1,959,122,983	
Profit Attributable to:							
Equity Holders of the Company		27,208,059	575,040,577		428,875,374	1,959,122,983	
Non - Controlling Interests		118,544,331	367,321,951		-	-	
		145,753,391	942,362,528		428,875,374	1,959,122,983	
Basic Earnings / (Deficit) Per Share		0.03	0.57		0.43	1.95	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Quarter Ended 31st March,	2020 LKR	2019 LKR	2020 LKR	2019 LKR
Profit/ (Loss) for the Period	145,753,391	942,362,528	428,875,374	1,959,122,983
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	(26,074,043)	26,703,131	-	-
Related Tax	10,364,291	(12,092,447)	-	-
	(15,709,752)	14,610,684	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Bulding	189,717,149	520,114,068	-	-
Tax on Revaluation Gain	(64,132,253)	(114,577,558)	-	-
Effect of CF Hedge Accounting	(35,827,376)	-	-	-
Currency Translation of Foreign Operation	144,922,399	(80,523,729)	-	-
Tax on Currency translation of Foreign operation	(21,832,534)	-	-	-
Gain/(Loss) From Change in Fair Value of Financial Assets	(4,393,064)	(153,757,244)	-	-
Related Tax	-	52,957,057	-	-
	208,454,320	224,212,594	-	-
Total Other Comprehensive Income	192,744,568	238,823,278	-	-
Total Comprehensive Income for the Period	338,497,959	1,181,185,806	428,875,374	1,959,122,983
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	169,973,972	720,694,843	428,875,374	1,959,122,983
Non - Controlling Interests	168,524,987	460,490,962	-	-
	338,497,959	1,181,185,806	428,875,374	1,959,122,983

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Period Ended 31st March,	Notes	GROUP			COMPANY		
		2020	2019	% Change	2020	2019	% Change
		LKR	LKR		LKR	LKR	
Continuing Operations							
Revenue		20,009,235,854	17,732,587,184	13%	325,498,392	7,036,462	4526%
Direct Cost		(15,566,563,175)	(13,809,979,812)	13%	-	-	-
Gross Profit		4,442,672,679	3,922,607,372	13%	325,498,392	7,036,462	4526%
Investment and Other Income		91,754,611	160,309,466	-43%	457,056	365,046,183	-100%
Selling and Distribution Expenses		(870,426,836)	(747,735,633)	16%	(876,471)	-	-
Administrative Expenses		(2,840,612,526)	(2,268,046,337)	25%	(47,801,547)	(53,507,935)	-11%
Change in Fair Value of Financial Assets Held for Trading		31,472,669	(145,624,635)	-122%	18,052,585	2,435,719	641%
Changes in Fair Value of Investment Property		790,220,265	831,355,019	-5%	2,500,000	1,500,000	67%
Fair value gain on investment subsidiary fair valuation	11	-	-	-	522,022,354	2,079,759,681	-75%
Gain From Disposal of subsidiaries		-	-	-	-	531,286	-
Finance Cost		(1,060,341,718)	(837,440,077)	27%	(569,066,986)	(476,726,534)	19%
Share of Loss From Associate		(3,070,456)	-		-	-	
Profit/(Loss) Before Income Tax from Continuing Operations		581,668,688	915,425,175	-36%	250,785,383	1,926,074,862	-87%
Income Tax Expense		(126,928,598)	(401,530,041)	-68%	(17,531,861)	(1,448,982)	1110%
Profit/(Loss) for the Period from Continuing Operations		454,740,090	513,895,134	-12%	233,253,522	1,924,625,880	-88%
Discontinued Operations							
Profit/(Loss) after tax for the period from discontinued operations		(190,977,634)	(659,193)	28871%	-	-	-
Profit/(Loss) for the period		263,762,455	513,235,941	-49%	233,253,522	1,924,625,880	-88%
Profit Attributable to:							
Equity Holders of the Company		(54,171,213)	47,147,271		233,253,522	1,924,625,880	
Non - Controlling Interests		317,932,668	466,088,670		-	-	
		263,762,455	513,235,941		233,253,522	1,924,625,880	-
Basic Earnings / (Deficit) Per Share		(0.05)	0.05		0.23	1.92	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Period Ended 31st March,	2020 LKR	2019 LKR	2020 LKR	2018 LKR
Profit/ (Loss) for the Period	263,762,455	513,235,941	233,253,522	1,924,625,880
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	(26,074,043)	26,703,131	-	-
Related Tax	10,364,291	(12,092,447)	-	-
	(15,709,752)	14,610,684	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Building	189,717,149	632,299,068	-	-
Tax on Revaluation Gain	(64,132,253)	(145,989,358)	-	-
Effect of CF Hedge Accounting	(35,827,376)	-	-	-
Currency Translation of Foreign Operation	156,075,551	(378,266,928)	-	-
Tax on Currency translation of Foreign operation	(21,832,534)	-	-	-
Gain/(Loss) From Change in Fair Value of Financial Assets	(8,786,128)	(153,757,244)	-	-
Related Tax		52,957,057		
	215,214,408	7,242,595	-	-
Total Other Comprehensive Income	199,504,656	21,853,279	-	-
Total Comprehensive Income for the Period	463,267,112	535,089,220	233,253,522	1,924,625,880
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	93,880,656	21,875,941	233,253,522	1,924,625,880
Non - Controlling Interests	369,386,455	513,213,279	-	-
	463,267,112	535,089,220	233,253,522	1,924,625,880

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF FINANCIAL POSITION

As at,	Note	GROUP		COMPANY	
		31-Mar-20	31-Mar-19 Restated	31-Mar-20	31-Mar-19 Restated
		LKR	LKR	LKR	LKR
ASSETS					
Non-Current Assets					
Property, Plant & Equipment		3,930,158,132	5,115,420,533	11,476,105	16,427,629
Right to use Asset		1,001,288,397	-	4,690,705	-
Intangible Assets		1,620,745,306	1,252,382,684	-	-
Biological Assets		51,167,075	50,381,950	-	-
Investment Property		4,405,315,025	3,612,851,650	33,000,000	30,500,000
Investment in Subsidiaries	11	-	-	9,170,682,005	8,653,035,726
Investment in Associate		11,929,544	-	-	-
Other Financial Assets		310,578,599	26,024,108	-	-
Deferred Tax Asset	11	90,857,895	160,761,323	-	15,580,670
		11,422,039,972	10,217,822,249	9,219,848,815	8,715,544,025
Current Assets					
Inventories		4,054,933,962	4,240,916,106	-	-
Other Financial Assets		1,999,228,763	1,916,753,872	1,043,426,486	895,197,720
Trade & Other Receivables		6,324,794,675	6,005,043,760	112,539,745	88,663,548
Income Tax Recoverable		45,966,455	37,933,568	-	-
Cash & Cash Equivalents		799,455,519	611,908,960	29,277,252	1,212,412
		13,224,379,375	12,812,556,267	1,185,243,483	985,073,680
Total Assets		24,646,419,347	23,030,378,515	10,405,092,297	9,700,617,705
EQUITY AND LIABILITIES					
Equity					
Stated Capital		1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Retained Earnings		1,748,927,927	1,730,353,846	4,529,733,290	4,296,479,769
Other Components of Equity		876,670,936	718,649,671	258,920,263	258,920,263
Equity Attributable to Equity Holders of the Company		3,679,242,268	3,502,646,922	5,842,296,958	5,609,043,437
Non Controlling Interests		3,184,523,282	3,098,213,414	-	-
Total Equity		6,863,765,550	6,600,860,336	5,842,296,958	5,609,043,437
Non-Current Liabilities					
Other Financial Liabilities		21,910,743	21,886,803	20,965,777	20,965,777
Interest Bearing Loans & Borrowings		3,640,030,586	2,756,476,036	3,300,128,599	2,748,685,133
Retirement Benefit Obligations		442,666,692	400,791,670	-	-
Deferred Tax Liability	11	766,482,159	810,764,286	1,951,191	-
Lease Liability -Right to Use Asset		101,496,926	-	3,258,865	-
		4,972,587,106	3,989,918,795	3,326,304,432	2,769,650,910
Current Liabilities					
Trade and Other Payables		3,817,481,153	4,922,462,303	43,368,307	43,669,324
Income Tax Payable		217,653,299	193,412,134	-	-
Contract Liability		924,172,960	706,864,079	-	-
Interest Bearing Loans & Borrowings		7,806,868,713	6,616,860,868	1,191,613,047	1,278,254,035
Lease Liability -Right to Use Asset		43,890,566	-	1,509,554	-
		12,810,066,691	12,439,599,384	1,236,490,907	1,321,923,358
Total Equity and Liabilities		24,646,419,347	23,030,378,515	10,405,092,297	9,700,617,705
Net Assets Per Share (Rs.)		3.67	3.49	5.83	5.59

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd.
Haritha C Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd.
Sanjeev Gardiner
Chairman

Sgd.
Ajith Devasurendra
Deputy Chairman

03rd September 2020
Colombo

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF CHANGES IN EQUITY

GROUP	Attributable to Equity Holders of the Company							Non Controlling Interests	Total Equity
	Stated Capital	Currency/Exchange Hedge	Fair Value Through OCI Reserve	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2018	1,053,643,405	-	-	856,717,592	(435,510)	2,140,513,431	4,050,438,918	2,428,238,516	6,478,677,434
Impact of adapting SLFRS 9	-	-	(83,979,949)	-	-	10,735,990	(73,243,959)	(53,278,501)	(126,522,460)
Restated- Balance as at 1 April 2018	1,053,643,405	-	(83,979,949)	856,717,592	(435,510)	2,151,249,421	3,977,194,959	2,374,960,015	6,352,154,975
Profit / (Loss) for the period						47,147,271	47,147,271	466,088,670	513,235,941
Other Comprehensive Income			(125,204,523)	335,884,768	(258,521,866)	22,570,291	(25,271,331)	47,124,608	21,853,278
Total Comprehensive Income for the Period			(125,204,523)	335,884,768	(258,521,866)	69,717,562	21,875,940	513,213,278	535,089,219
Revaluation Reserve Transfer	-	-	-	(5,810,840)	-	5,810,840	-	-	-
Transactions with owners of the Group									
Contributions and Distributions									
Subsidiary Dividend Paid to Minority Share Holders						-	-	(171,181,230)	(171,181,230)
Dividends paid (LKR 0.36 per share)						(360,980,933)	(360,980,933)	-	(360,980,933)
Total Contributions and Distributions	-		-	(5,810,840)	-	(355,170,093)	(360,980,933)	(171,181,230)	(532,162,163)
Effect of Change in Percentage Holding in Subsidiary	-	-	-	-	-	(135,443,046)	(135,443,046)	381,221,350	245,778,304
Total changes in ownership interest	-		-	-	-	(135,443,046)	(135,443,046)	381,221,350	245,778,304
Total Transactions with owners of the Company	-		-	(5,810,840)		(490,613,139)	(496,423,979)	210,040,120	(286,383,860)
Balance as at 31 March 2019	1,053,643,405	-	(209,184,472)	1,186,791,520	(258,957,376)	1,730,353,844	3,502,646,920	3,098,213,414	6,600,860,336
Profit / (Loss) for the period						(54,171,213)	(54,171,213)	317,932,668	263,761,455
Other Comprehensive Income		(20,051,922)	(7,154,544)	78,558,268	106,669,463	(9,969,395)	148,051,869	51,453,787	199,505,656
Total Comprehensive Income for the Period		(20,051,922)	(7,154,544)	78,558,268	106,669,463	(64,140,608)	93,880,656	369,386,455	463,267,112
Holding Change - Acquisition of Further interest CCH						82,714,692	82,714,692	(234,180,731)	(151,466,040)
Subsidiary Dividend to Minority Shareholders						-	-	(48,895,856)	(48,895,856)
Balance as at 31 March 2020	1,053,643,405	(20,051,922)	(216,339,016)	1,265,349,788	(152,287,914)	1,748,927,927	3,679,242,268	3,184,523,282	6,863,765,551

COMPANY	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
Balance as at 31st March 2018	1,053,643,405	258,920,263	1,033,409,287	2,345,972,955
Investment in Subsidiary fair valuation Impact			1,699,425,536	1,699,425,536
Balance as at 01 April 2018 (Un Audited) - Restated	1,053,643,405		2,732,834,823	4,045,398,491
Profit / (Loss) for the period	-	-	1,924,625,880	1,924,625,880
Total Comprehensive Income for the Period	-	-	1,924,625,880	1,924,625,880
Dividends paid (LKR 0.36 per share)			(360,980,933)	(360,980,933)
Balance as at 31st March 2019	1,053,643,405	258,920,263	4,296,479,769	5,609,043,437
Profit / (Loss) for the period	-	-	233,253,522	233,253,522
Balance as at 31 March 2020	1,053,643,405	258,920,263	4,529,733,290	5,842,296,958

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
CASH FLOW STATEMENT

<i>For the period Ended 31st March,</i>	CONSOLIDATED		COMPANY	
	2020 Rs.	2019 Rs.	2020 Rs.	2019 Rs.
Cash flows From Operating Activities				
Profit before Taxation	581,668,688	915,425,175	250,785,383	1,926,074,862
Profit/(Loss) before tax from discontinued operations	(190,977,634)	(659,193)	-	-
Adjustment for				
Depreciation, amortization and impairment charges	310,717,857	382,674,182	5,086,813	4,018,479
Amortisation of Intangible Assets	198,752,176	8,304,754	-	-
Impairment of Property Plant & Equipment	47,521,371	-	-	-
Fair value gain on investment subsidiary fair valuation	-	-	(522,022,354)	(2,079,759,681)
Fair Value (Gain)/Loss On Current Investments	(31,472,669)	145,624,635	(18,052,585)	(2,435,719)
Provision for Retirement Gratuity	85,782,926	80,836,405	-	-
Impairment of Goodwill	-	-	-	-
Reversal Of Impairment	-	-	-	-
Change in fair value of investment property	(790,220,265)	(831,355,019)	(2,500,000)	(1,500,000)
Change in Fair Value of Biological Assets	(785,125)	(2,100,000)	-	-
Interest on other Financial liabilities	-	23,940	-	-
Interest Income	-	-	-	-
Interest Expense	1,060,341,718	1,017,922,140	-	-
Dividend Income	-	-	-	-
(Gain)/Loss on disposal of Property, Plant & Equipment	1,723,835	(7,155,621)	-	-
Reversal of Employee Share Appreciation Rights	-	-	-	-
Provision / (Reversal) of provision on Inventories	-	(123,686,758)	-	-
Income from Investments	38,000,000	-	-	-
Impairment of provision of trade and other receivables	-	(2,133,261)	-	-
Amortization of Deferred Income	-	-	-	-
Provision of Investment in Subsidiaries	-	-	4,376,075	8,443,568
Deferred income	-	-	-	-
Gain on Loan Write Back	-	(153,859,921)	-	-
Profit on Disposal Of Current Investment	(13,537,873)	9,934,834	-	-
Gain on disposal of Subsidiary	-	-	-	(531,286)
Exchange (Gain) / Losses	-	-	-	-
Share of (Profit)/Loss from Associates	3,070,456	-	-	-
(Profit)/Loss on disposal of Assets Held for Sale	-	-	-	-
Merger Reserve	-	-	-	-
Employee Share Appreciation Rights	-	1,174,613	-	1,174,613
Operating Profit before Working Capital Changes	1,300,585,461	1,440,970,905	(282,326,668)	(144,515,166)
(Increase)/Decrease in Inventories	(41,860,523)	(359,177,801)	-	-
(Increase)/Decrease in Trade & Other Receivables	(298,015,972)	(2,162,536,965)	(28,566,897)	16,102,007
(Increase)/Decrease in Dues from Related Companies	-	-	-	-
Increase/(Decrease) in Contract Liability	217,308,882	(41,286,417)	-	-
Increase/(Decrease) in Trade & Other Payable	(694,536,204)	1,232,032,473	4,467,403	(38,672)
Cash Generated from Operations	483,481,644	110,002,195	(306,426,162)	(128,451,831)
Interest Paid	(1,056,521,693)	(777,871,226)	-	-
Income Tax Paid	(175,874,022)	(165,590,742)	-	-
Retiring Gratuity Paid	(34,920,106)	(62,910,528)	-	(4,615,058)
Net Cash Flow from Operating Activities	(783,834,177)	(896,370,301)	(306,426,162)	(133,066,889)
Cash Flow from Investing Activities				
Net Proceeds from Government Securities	(130,176,181)	(137,407,115)	(130,176,181)	(134,971,396)
Acquisition of Property, Plant & Equipment	(184,517,252)	(598,997,311)	(135,290)	(20,000,000)
Purchase of Intangible Assets	(495,001,681)	(19,181,470)	-	-
Investments in Investment Property	(2,243,110)	(7,542,453)	-	-
Loan granted/ (recovered) to/from related companies	-	-	-	-
Invest in Subsidiaries	-	-	-	(30,000,000)
Proceeds from disposal of Subsidiaries	-	-	-	298,680,270
Net investment on Acquisition of subsidiary	-	-	-	-
Investment In Current Investments	(64,727,906)	-	-	-
Disposal of Other Financial assets	-	375,905,171	-	-
Investment In Other Financial Assets	(952,683,256)	(55,512,887)	-	-
Dividend Received	-	-	-	-
Investment in Equity Accounted investee	(15,000,000)	-	-	-
Proceeds on Disposal of Property, Plant & Equipment	413,177	38,159,725	-	-
Proceeds from sale of Investments	154,774,226	-	-	-
Assets Classified as Held for Sale	-	-	-	-
Proceed from Assets Held for sale	-	-	-	-
Redemption of Preference Shares	-	-	-	-
Interest Income Received	-	-	-	-
Net Cash Flow Used in Investing Activities	(1,689,161,982)	(404,576,340)	(130,311,471)	113,708,874
Cash Flow from Financing Activities				
Dividend paid	-	-	-	-
Proceeds from Interest Bearing Loans & Borrowings, net of payments	2,560,214,243	1,839,111,735	392,788,532	2,356,303,509
Repayment of finance Lease	(58,249,095)	(3,400,000)	-	-
Dividend Paid to Non Controlling Interest	(48,895,856)	(171,181,230)	-	-
Repayments of Loans	-	-	-	-
Effect of Exchange Rate Changes in Loans & Borrowings	-	(2,233,893)	-	-
Proceeds from Non-Controlling Interest Through Holding Change	-	245,778,304	-	-
Acquisition by Non Controlling Interest	(151,466,040)	-	-	-
Dividend Paid	-	(360,980,933)	-	(360,980,933)
Net Cash Flow from Financing Activities	2,301,603,253	1,547,093,982	392,788,532	1,995,322,576
Net foreign Exchange Difference	155,946,673	(295,973,173)	-	-
Net Increase/Decrease in Cash & Cash Equivalent during the period	(15,446,233)	(49,825,832)	(43,949,101)	1,975,964,561
Cash & Cash Equivalents				
Net movement during the period	(15,446,233)	(49,825,832)	(43,949,101)	1,975,964,561
At the beginning of the period	(811,638,287)	(761,812,454)	(33,758,277)	(2,009,722,837)
At the end of the year (Note A)	(827,084,520)	(811,638,286)	(77,707,378)	(33,758,276)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	799,375,936	611,908,960	29,277,252	1,212,412
Bank & Other Borrowings	(1,626,460,456)	(1,423,547,246)	(106,984,630)	(34,970,688)
	(827,084,520)	(811,638,286)	(77,707,378)	(33,758,276)

1 Corporate Information

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012 and as Ambeon Capital PLC on 10th May 2018.

The Interim Financial Statements of the Group and the Company for the twelve months ended 31st March 2020 were authorised for issue by the Board of Directors on 03rd September 2020.

2 Basis of Preparation

These Interim Financial Statements have been prepared based on the new accounting policies and methods which have been revised in line with the requirements of the SLFRS 9 - Financial Instruments. The Company complied with LKAS - 39, Financial Instruments : Recognition and measurements up to 31st March 2018, in the preparation of its Financial Statements. In order to recognise the impact on the transition, the Company has adopted the modified retrospective approach in line with SLFRS 9 - Financial Instruments for the financial year ended 31st March 2019. The accounting policies and methods of computation followed in preparing the above Interim Financial Statements are the same as those disclosed in our Annual Report for the year ended 31st March 2019.

These Interim Financial Statements have been prepared in compliance with the requirements of Sri Lanka Accounting Standards - LKAS 34 on Interim Financial Reporting.

3 New standards, interpretations and amendments adopted by the Group

SLFRS 16 - Leases

SLFRS 16 specifies how an entity will recognize, measure, present and disclose leases. The standard provides a single lessee accounting model requiring leases recognise assets and liabilities for all leases unless the term is 12 months or less or the underlying asset has a lower value. The Lessors continue to classify leases as operating or finance as SLFRS 16's approach for lessor accounting substantially unchanged from its predecessor. SLFRS 16 is effective for financial reporting periods beginning on or after 1st January 2018, with early adoption permitted.

The Group has lease contracts for retail stores typically made for 6 years of lease term and has extension option. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Right of use assets

The Group recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use assets are depreciated on a straight-line basis over the shorter of its estimated useful life or the lease term.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Set out below, are the carrying amounts of right of use assets and lease liability and the movements for the period ended 31st March 2020.

	Company		Group	
	Right of use assets	Lease liability	Right of use assets	Lease liability
As at 1st April 2019				
Additions	6,346,248	6,346,248	1,001,922,792	176,173,798
Amortisation	(1,655,543)	-	(63,509,961)	-
Exchange Reserve Impact	-	-	62,875,566	-
Interest cost	-	644,351	-	21,891,291
Payment	-	(2,222,180)	-	(52,677,595)
	4,690,705	3,258,865	1,001,288,397	145,387,493

4 Segment Information - Group

	CONSOLIDATED	
	2019/20 12 Months	2018/19 12 Months
(a) Revenue		
Manufacturing Footwear	59,352,861	602,444,243
Manufacturing Porcelain	2,244,026,385	2,178,649,472
Manufacturing Textile	9,139,684,246	8,296,138,014
Investment	365,389,400	7,139,780
IT and related Services	8,039,023,689	6,533,340,789
Financial Services	131,685,082	103,293,371
Property	30,074,190	11,581,515
Revenue	20,009,235,854	17,732,587,184
Direct Expenses	(15,566,563,175)	(13,809,979,812)
Gross Profit	4,442,672,679	3,922,607,372
(b) Industry Segment Profit		
Manufacturing Footwear	322,231,680	47,192,702
Manufacturing Porcelain	(729,045)	458,059,805
Manufacturing Textile	33,044,855	518,921,549
Investment	(579,879,918)	(756,777,591)
IT and related Services	653,437,539	531,492,888
Financial Services	65,527,809	(11,059,555)
Property	88,035,769	127,595,377
Profit Before Income Tax	581,668,688	915,425,175
Income Tax Expense	(126,928,598)	(401,530,041)
Profit/(Loss) for the period from continuing operations	454,740,090	513,895,134
Discontinued operations	(190,977,634)	(659,193)
Profit/(Loss) for the Period	263,762,455	513,235,941
Other Comprehensive Income for the period (Net of Tax)	199,504,656	21,853,279
Total Comprehensive Income for the period	463,267,111	535,089,220

5 Stated Capital

Stated Capital is represented by number of shares in issue as given below:

	2020	2019
Ordinary Shares	1,002,724,815	1,002,724,815

6 Related Party Transactions

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2018/19.

7 Share Information

7.1 Market Price per Share

31.03.2020 31.03.2019

The market value of an ordinary share of Ambeon Capital PLC was as follows:

Last traded price recorded for 3 months ended	3.00	3.70
Highest price recorded for 3 months ended	5.50	4.40
Lowest price recorded for 3 months ended	3.00	3.20

7.2 Public Share Holdings

The company is not in compliance with the Minimum Public Holding requirements for Companies listed on the Dir Savi Board as per Rule 7.13.1 (b) of the Listing Rules of the Colombo Stock Exchange, under Option 2, i.e Float-Adjusted Market Capitalization of less than Rs 1 Billion with 200 Public Shareholders and a Public Holding percentage of 10%.

The Company's Public Holding as at 31st March 2020

Float-Adjusted Market Capitalization	78,806,316.00
Number of Public shareholders	672
Percentage of ordinary shares held by the public	2.62%

7.3 Twenty Major Shareholders

		31.03.2020	
		Number of	(%)
Name of Shareholders		Shares	
1	CHC Investment (Pvt) Ltd	568,327,024	56.68%
2	Seylan Bank PLC/ARRC Capital (Pvt) Ltd	355,526,332	35.46%
3	ARRC Capital (Pvt) Ltd	51,190,106	5.11%
4	Seylan Bank PLC/Ruwan Prasanna Sugathadasa	17,799,898	1.78%
5	Merchant Bank Of Sri Lanka & Finance PLC/K.K. Wickramasinghe	968,353	0.10%
6	Mr. Sarinda Wasanth Unamboowe	768,783	0.08%
7	Mr. Ranil Prasad Pathirana	500,000	0.05%
8	Ms. Fleur Annaleen Ann Mack	399,970	0.04%
9	Hatton National Bank PLC/Sanka Ramoorthy Nadaraj Kumar	381,458	0.04%
10	Mrs. Banuri Kumari Vanya Wickramasinghe	267,500	0.03%
11	Mrs. Shirani Sunila Silva	240,000	0.02%
12	Mr. Ram Pritamdas	230,413	0.02%
13	Merchant Bank Of Sri Lanka & Finance PLC 01	220,000	0.02%
14	South Asian Investment (Pvt) Ltd	209,185	0.02%
15	Mr. Kangasu Chelvadurai Vignarajah	207,547	0.02%
16	Mr. Selladurai Srikanth	174,999	0.02%
17	Mr. Pathirage Hemantha Devapriya Perera	157,380	0.02%
18	Asha Financial Services Limited/Mr.C.N.Pakianathan	152,399	0.02%
19	Mr. Ravindra Earl Rambukwella	141,730	0.01%
20	Mr. Michael De Saram	140,000	0.01%
		998,003,077	99.53%

7.4 Director's and Chief Executive Officers Share Holding as at 31st March 2020

	Number of Shares
Mr. S.E. Gardiner	Nil
Mr. P. D. J. Fernando	Nil
Mr. A. L. Devasurendra	138
Mr. S.H. Amarasekera	Nil
Mr. R.P. Pathirana	500,000
Mr. S.W. Unamboowe	768,783
Mr. P.D. Rodrigo	Nil
Mr. N.M. Prakash	20,477
Mr. R.T. Devasurendra	Nil
	1,289,398

8 Earnings per Share

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by weighted average number of ordinary shares in issue as at the balance sheet date and calculated as follows.

	Group		Company	
	31/03/2020	31/03/2019	31/03/2020	31/03/2019
<u>Amounts used as the Numerator</u>				
Net Profit / (Loss) Attributable to Ordinary Shareholders	<u>(54,171,213)</u>	<u>47,147,271</u>	<u>233,253,522</u>	<u>1,924,625,880</u>
Weighted Average Number of Ordinary Shares in Issue (Nos.)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings per Ordinary Share (Rs.)	(0.05)	0.05	0.23	1.92

9 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

10 Commitment and Contingencies

Ambeon Holdings PLC has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

Name of the Company	Bank	Amount LKR	Outstanding Balance as at 31st March
Royal Fernwood Porcelain Ltd	People's Bank	65 Mn	16 Mn
Millennium IT ESP	Seylan Bank	2000 Mn	932 Mn
South Asia Textiles Ltd	Peoples Bank	804 Mn (USD 4.4)	660 Mn
Ceylon Leather Products Manufacturers Ltd	Peoples Bank	205 Mn	174 Mn
Ceylon Leather Products Ltd	Bank Of Ceylon	60 Mn	0

11 Changes in Accounting Policies and Disclosures

The Company re-assessed its accounting for investments in subsidiaries in separate financial statements. The Company had previously measured all investments in subsidiaries at cost whereby, after initial recognition the asset was carried at cost less accumulated impairment losses. During the year, the Company elected to change the method of accounting for investments in subsidiaries retrospectively, as the Company believes that the accounting for investments in subsidiaries in accordance with SLFRS 9 provides more relevant information to the users of its financial statements. In addition, available valuation techniques provide reliable estimates of fair value of the investments in subsidiaries. The Company applied the change retrospectively.

Accounting for investments in Subsidiaries

Investment in Subsidiary are those entities that is controlled by the Company. Investment in subsidiary are accounted at fair value through profit or loss in accordance with SLFRS 9. They are initially recognized at fair value. Subsequent to initial recognition, the fair value gains or losses are recognized in the statement of profit or loss in the separate financial statements until the date on which the control is lost. The dividends received from the Subsidiary are treated as other income in the statement of profit or loss of the separate financial statements.

	2018	Impact	2018 Restated
Investment in subsidiary	5,149,202,175	-	5,149,202,175
Fair Valuation Gain	-	1,700,666,420	1,700,666,420
	<u>5,149,202,175</u>	<u>1,700,666,420</u>	<u>6,849,868,595</u>
Deferred Tax	18,270,536	-	18,270,536
Deferred tax Charge on fair value Gain	-	(1,240,884)	(1,240,884)
	<u>18,270,536</u>	<u>(1,240,884)</u>	<u>17,029,652</u>
Retained earning	<u>1,033,409,288</u>	<u>1,699,425,536</u>	<u>2,732,834,824</u>

	2019	Impact	2019 Restated
Investment in subsidiary	4,872,609,625	-	4,872,609,625
Fair Valuation Gain 2018	-	1,700,666,420	1,700,666,420
Fair Valuation Gain 2019		2,079,759,680	2,079,759,680
	<u>4,872,609,625</u>	<u>3,780,426,100</u>	<u>8,653,035,725</u>
Deferred Tax	17,202,174	-	17,202,174
Deferred tax Charge on fair value Gain 2018	-	(1,240,884)	(1,240,884)
Deferred tax Charge on fair value Gain 2019	-	(380,620)	(380,620)
	<u>17,202,174</u>	<u>(1,621,504)</u>	<u>15,580,670</u>
Retained earning	<u>517,675,172</u>	<u>3,778,804,596</u>	<u>4,296,479,768</u>

Impact for Profit or Loss Statement

Fair value gain on investment subsidiary fair valuation

	2019	Impact	2019 Restated
Fair value gain	-	2,079,759,680	2,079,759,680
	<u>-</u>	<u>2,079,759,680</u>	<u>2,079,759,680</u>

Investment in subsidiary as at 31 March 2020

	2019	Investment	FV Gain	2020
Investment in subsidiary	8,653,035,725	(4,376,075)	522,022,354	9,170,682,004
	2019	Charge	FV Gain charge	2020
Deferred tax	15,580,670	(17,807,301)	275,440	(1,951,192)

12 FAIR VALUE MEASUREMENT

GROUP

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The Group held the following assets and liabilities carried at fair value in the statement of financial position:

Assets Measured at Fair Value

	Level 1		Level 2		Level 3	
	31/03/2020	31/03/2019	31/03/2020	31/03/2019	31/03/2020	31/03/2019
	LKR	LKR	LKR	LKR	LKR	LKR
Investment Properties	-	-	-	-	4,405,315,025	3,612,851,650
Financial Instrument at Amortized Cost	-	-	23,236,379	22,451,836	-	-
Land	-	-	-	-	992,613,150	1,174,550,550
Buildings	-	-	-	-	731,194,160	1,015,835,490
Building on Leasehold Land	-	-	-	-	805,500,000	805,500,000
Financial Assets						
Fair value through Profit or Loss	1,097,879,267	1,062,645,367	-	-	-	-
Financial assets held for trading:	562,312,205	566,705,269	-	-	-	-
	1,660,191,472	1,629,350,635	23,236,379	22,451,836	6,934,622,335	6,608,737,690

COMPANY	Level 1		Level 2		Level 3	
	31/03/2020	31/03/2019	31/03/2020	31/03/2019	31/03/2020	31/03/2019
	LKR	LKR	LKR	LKR	LKR	LKR
Investment Properties	-	-	-	-	33,000,000	30,500,000
Investment in Subsidiaries	-	-	-	-	9,170,682,005	8,653,035,726
FVTPL - Financial Assets						
Fair Value Through Profit or Loss	1,043,426,486	895,197,720	-	-	-	-
Financial assets held for trading:	-	-	-	-	-	-
	1,043,426,486	895,197,720	-	-	9,203,682,005	8,683,535,726

Financial Assets and Liabilities measured or disclosed at Fair Value

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

The fair values of the quoted equities are based on price quotations at the reporting date.

Long-term fixed-rate borrowings are evaluated by the Group based on interest rates.

Those assumptions for assets categorised as Level 3 has been described under respective note numbers.

During the reporting period ended 31 March 2020 and 31 March 2019, there were no transfers between Level 1 and Level 2 fair value measurements.

13 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the Financial Statements, except for,

Proposed Dividend - Eon tec (pvt) Ltd

The Board of Directors of the company has declared a Dividend of LKR 0.78 per share for the financial year 2019/20. Date of Payment will be on 12 June 2020.

14 Interim figures are provisional and subject to an audit.

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES

CORPORATE INFORMATION

Name of the Company

Ambeon Capital PLC

Legal Form

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

Company Registration Number

PB 1090 PQ

Board of Directors

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Muralee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Mr. Revantha Devasurendra -Alternate Director

Secretaries

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

Business & Registered Office

No.10, Gothami Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

Auditors

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

Bankers

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office